

from the bank at higher rates). This technique is often used to bring down spiralling inflation rates.

A higher base lending rate also means that the bank can pass on the benefits to you as a retail investor as well. Therefore, this base lending rate is directly proportional to the interest rate you will get from a fixed deposit.

By the same analogy, in a weak economic situation, the reverse is true, which essentially means that the base lending rate or the interest rate may come down to encourage big clients to borrow more money for their businesses at a lesser lending rate. This, essentially, again directly impacts the interest rate that the bank can give you on your fixed deposits.

This change of base lending rates (which is essentially counted in basis points e.g., a 3% base lending rate by the RBI would mean 300 basis points) and indicates the base lending rate that banks must use to loan money to large businesses for investments. In turn, they may decide their FD rates for retail customers.

Though this base lending rate change may hardly impact the existing fixed deposits, it will definitely impact future fixed deposit rates, and becomes an important factor when deciding on FDs as a long-term option.

In nutshell, if you feel that the economy is already overheated and the reserve or federal bank is increasing the base lending rate consistently, you may want to invest in a longer term fixed deposit (may be 3 to 5 years) so that you can secure a fixed high rate of return on your fixed deposit.

Does it make sense to break an old FD and invest in a new one?

Breaking an FD means premature withdrawal of your money locked into an FD - you break an FD when you take out the money before the term of the